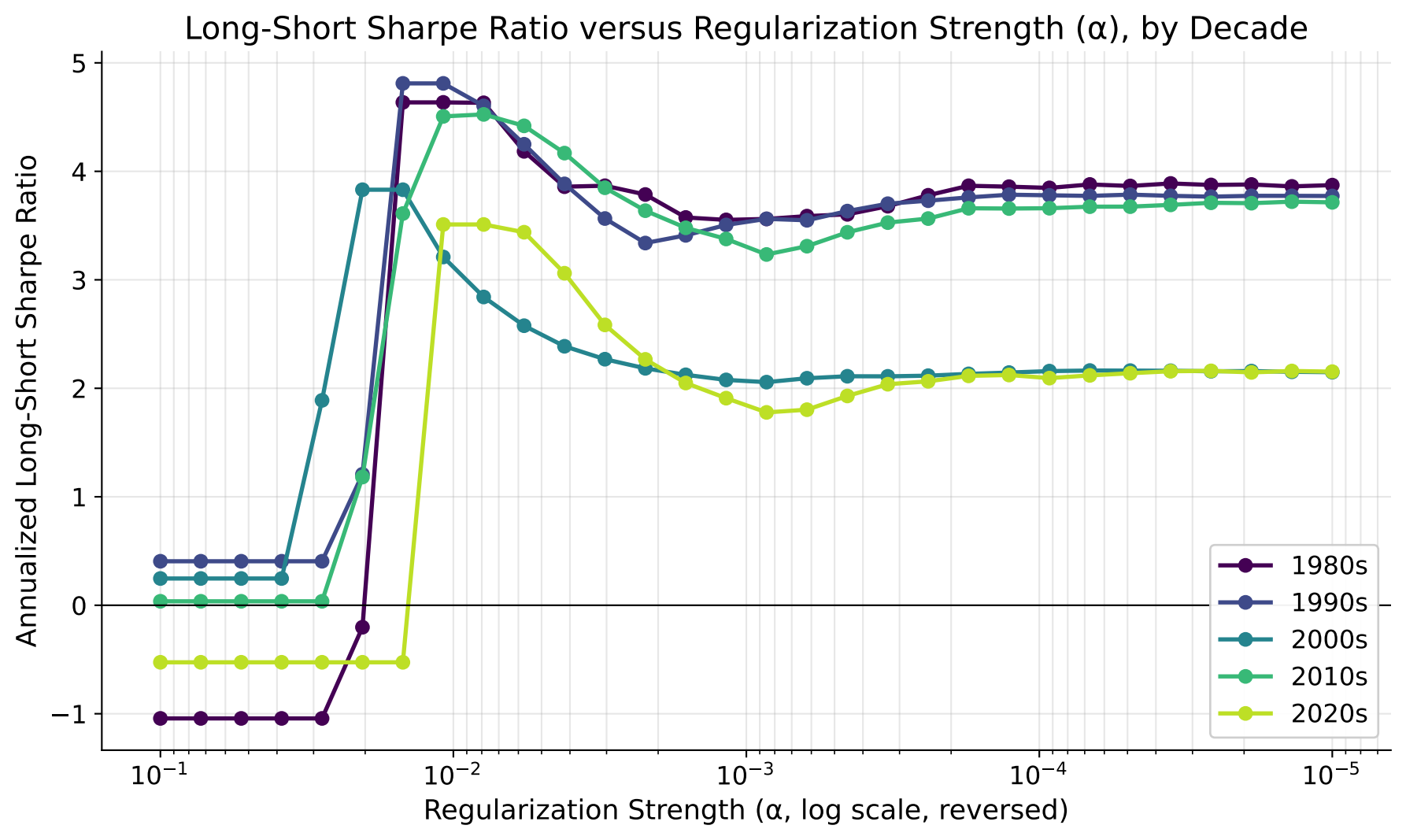
Long-Short Sharpe Ratio versus Regularization Strength (α), by Decade
Annualized Long-Short Sharpe Ratio
5
4
3
2
1
0
−1
10^{-1}
10^{-2}
10^{-3}
10^{-4}
10^{-5}
Regularization Strength (α, log scale, reversed)
1980s
1990s
2000s
2010s
2020s